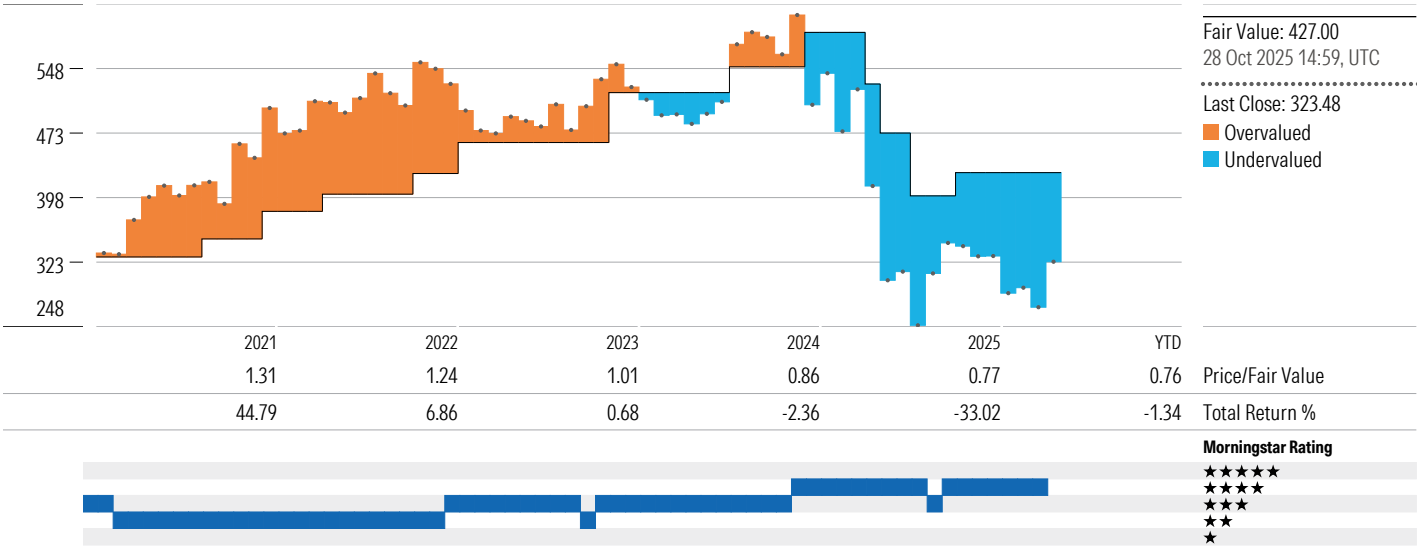
UnitedHealth Group Inc UNH ★★★★ 20 Apr 2026 22:43, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
323.48 USD 20 Apr 2026	427.00 USD 28 Oct 2025 19:59, UTC	0.76	293.61 USD Bil 20 Apr 2026	Narrow	Large Value	High	Standard	21 Apr 2026 05:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.31	1.24	1.01	0.86	0.77	0.76
Total Return %	44.79	6.86	0.68	-2.36	-33.02	-1.34

Morningstar Rating

Total Return % as of 20 Apr 2026. Last Close as of 20 Apr 2026. Fair Value as of 28 Oct 2025 14:59, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

UnitedHealth Earnings: Rate Actions Improve Medical Cost Ratio and Boost 2026 Outlook

Analyst Note Julie Utterback, CFA, Senior Equity Analyst, 21 Apr 2026

On April 21, UnitedHealth reported first-quarter results that included 2% revenue growth and flat adjusted earnings per share. Management also raised its 2026 outlook to adjusted EPS of at least $18.25, from at least $17.75 previously. The shares rallied about 9% in early trading on the news.

Why it matters: Investors appear relieved that guidance is rising already in 2026, rather than the industry norm of falling in 2025. The reason for the increase—an improving medical cost ratio in the beleaguered medical insurance operations—was especially reassuring.

- Management said its MCR improved after repricing at-risk plans across the board for 2026. We were pleased to see the firm making progress in this metric, despite elevated medical utilization trends.
- Optum profits declined as the firm invested primarily in Optum Health (caregiving) and Optum Insight (analytical solutions), but those profit pressures should ease in the second half of the year. Optum Rx (pharmacy benefit management) basically treaded water, including ongoing business model changes to improve transparency.

The bottom line: To recognize improving margin trends, we have increased our expectations for 2026 a bit, but that was not enough to materially adjust our $427 fair value estimate. The shares continue to look moderately undervalued, and we appreciate that the company is planning to repurchase some undervalued stock.

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Sector Healthcare

Industry Healthcare Plans

Business Description

UnitedHealth Group is one of the largest private health insurers and provides medical benefits to about 51 million members globally, including 1 million outside the US as of December 2025. As a leader in employer-sponsored, self-directed, and government-backed insurance plans, UnitedHealth has obtained massive scale in medical insurance. Along with its insurance assets, UnitedHealth's Optum franchises help create a healthcare services colossus that spans everything from pharmaceutical benefits to providing outpatient care and analytics to affiliates and third parties.

- While this increase in guidance follows the early April increase in the 2027 Medicare Advantage rate, we continue to see elevated operational and regulatory risk at UnitedHealth. This is reflected in our High Uncertainty rating, which is about one notch higher than usual.
- However, our Narrow Economic Moat Rating is intact at this top-tier managed care organization. The firm appears to have significant room for operational challenges or regulatory changes before its long-term ability to generate economic profits would be impaired.

Business Strategy & Outlook Julie Utterback, CFA, Senior Equity Analyst, 11 Mar 2026

UnitedHealth Group operates a top-tier health insurer (UnitedHealthcare), pharmacy benefit manager (Optum Rx), provider (Optum Health), and health analytics franchise (Optum Insight). Historically, this integrated strategy resulted in some of the best returns in the managed care industry that others have attempted to copy, including CVS Health, which added Aetna's medical insurance assets to its retail stores and PBM, and Cigna, which added Express Scripts' PBM assets to its medical insurance base.

Historically, UnitedHealth operated on the leading edge of changes affecting the industry. For example, its 2015 acquisition of Catamaran greatly increased its PBM scale and helped create a more holistic view of a patient's care. That combination of services helps the firm offer synergies to clients, such as employers and government programs, that are seeking to lower overall healthcare costs rather than just pharmacy or medical benefits. Adding service providers to the mix should align incentives even further, especially since the firm's outpatient care assets offer significantly lower costs than hospital-based services. Also, United's analytical tools help caregiver and insurer clients pull various healthcare information together to provide an even fuller picture of a patient's health and care options.

However, with internal and external challenges hitting most of its major business lines in recent years, particularly its at-risk insurance-related businesses, UnitedHealth's profits have contracted substantially. Also, regulators continue to question whether the pursuit of profits at managed care organizations like UnitedHealth outweighs the potential benefits to the US healthcare system. These concerns have added uncertainty to the company's playbook, including its goal of growing earnings 13%-16% annually in the long run. So while we think that goal remains in play, regulators may throw a wrench into the mission, with headwinds growing particularly in government-sponsored businesses like Medicare Advantage and Medicaid.

Bulls Say Julie Utterback, CFA, Senior Equity Analyst, 11 Mar 2026

- UnitedHealth's strategy of providing medical insurance, pharmacy benefits, and healthcare services should create a powerful alignment of incentives to help clients control their healthcare costs better than pure-play competitors.
- As the leading provider of Medicare Advantage plans in the US, UnitedHealth should benefit from ongoing demographic shifts and increasing popularity of these plans among seniors.

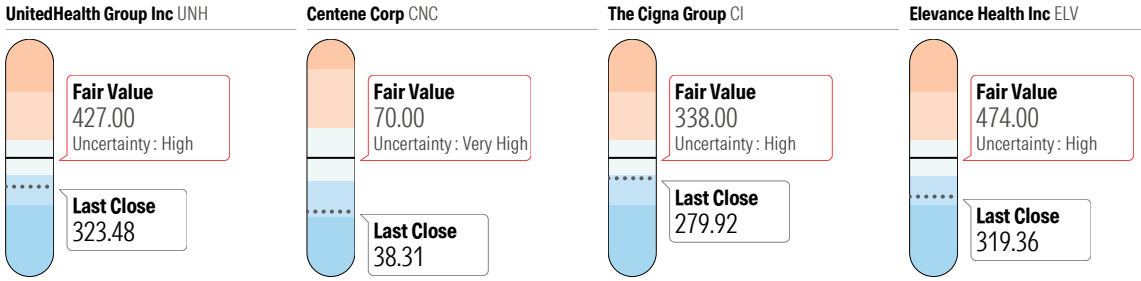
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Competitors



	UnitedHealth Group Inc UNH	Centene Corp CNC	The Cigna Group CI	Elevance Health Inc ELV
Economic Moat	Narrow	None	Narrow	Narrow
Currency	USD	USD	USD	USD
Fair Value	427.00 28 Oct 2025 14:59, UTC	70.00 25 Jul 2025 15:17, UTC	338.00 30 Oct 2025 17:28, UTC	474.00 28 Jan 2026 18:26, UTC
1-Star Price	661.85	122.50	523.90	734.70
5-Star Price	256.20	35.00	202.80	284.40
Assessment	Undervalued 20 Apr 2026	Undervalued 20 Apr 2026	Undervalued 20 Apr 2026	Undervalued 20 Apr 2026
Morningstar Rating	★★★★20 Apr 2026 22:43, UTC	★★★★20 Apr 2026 22:40, UTC	★★★★20 Apr 2026 22:40, UTC	★★★★20 Apr 2026 22:41, UTC
Analyst	Julie Utterback, Senior Equity Analyst	Julie Utterback, Senior Equity Analyst	Julie Utterback, Senior Equity Analyst	Julie Utterback, Senior Equity Analyst
Capital Allocation	Standard	Standard	Standard	Standard
Price/Fair Value	0.76	0.55	0.83	0.67
Price/Sales	0.66	0.10	0.27	0.36
Price/Book	3.11	0.94	1.77	1.61
Price/Earning	23.99	—	9.38	12.67
Dividend Yield	2.73%	0.00%	2.18%	2.14%
Market Cap	293.61 Bil	18.84 Bil	73.80 Bil	70.15 Bil
52-Week Range	234.60—453.50	25.08—64.15	239.51—350.00	273.71—432.93
Investment Style	Large Value	Mid Value	Mid Value	Mid Value

- UnitedHealth has managed its balance sheet more conservatively than peers, which should give it more financial flexibility during uncertain periods like the current environment.

Bears Say Julie Utterback, CFA, Senior Equity Analyst, 11 Mar 2026

- Regulatory scrutiny appears targeted at UnitedHealth, with ongoing antitrust investigations, questions around its risk assessments in Medicare Advantage, and scrutiny of its coverage denial rates in focus.
- The insurance and PBM industries will likely remain targets of regulators aiming to increase health coverage and reduce the healthcare cost burden on society until the US achieves universal, affordable coverage.
- The law of large numbers may eventually catch up to this healthcare behemoth, making its 13%-16% earnings growth goal difficult to achieve in the long run.

Economic Moat Julie Utterback, CFA, Senior Equity Analyst, 11 Mar 2026

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Our Narrow Morningstar Economic Moat Rating for UnitedHealth Group reflects our narrow-moat cap on the US managed care industry, including an unclear outlook for economic profitability outside our 10-year explicit forecast period due to regulatory concerns. Still, as a top-tier US health insurer, pharmacy benefit manager, service provider, and health analytics firm, UnitedHealth possesses enough competitive advantages to generate economic profits for at least the next 10 years, in our view, which is the signature of a narrow-moat firm.

We see a variety of moat sources stemming from its highly diversified business model, but overall, we think cost advantages and network effects are the companywide moat sources.

The Leading US Medical Insurer Benefits From Cost Advantages and Network Effects

In medical insurance, we believe UnitedHealth operates with cost advantages and network effects. Although the firm operates a broad nationwide network, we think UnitedHealth benefits from scale advantages in specific locations, too, which is the key determinant of moats in medical insurance since local scale allows for greater negotiating leverage versus local healthcare suppliers than smaller insurers in each market. Also, when local scale advantages are significant enough, we think UnitedHealth's insurance operations benefit from a network effect. For example, the major MCOs that we cover keep expanding their membership share in the US, to the tune of over 100 basis points annually over the past decade on a cumulative basis. This network effect relates to communities where MCOs like UnitedHealth already enjoy substantial market share and can offer lower costs or more benefits per member to existing and potential clients than peers. When that offering is compelling enough, more members can be attracted to UnitedHealth's insurance plans in those communities, and local service providers (such as hospitals and physician groups) will have more incentive to join and offer lower prices to UnitedHealth's insurance networks to gain access to its large, growing membership rolls, creating a network effect.

Top-Tier Pharmacy Benefit Manager Enjoys Switching Costs and Network Effects

UnitedHealth's pharmacy benefit manager, Optum Rx, appears competitively advantaged with switching costs and a network effect present. The top three PBMs process about 80% of US pharmaceutical claims, and we think their historical cost advantages over other players led to their dominance of this market. However, they do not appear to have significant cost advantages over one another any longer. Positively, from a moat source perspective, we see evidence of switching costs and network effects at the PBMs that could prevent a big change in the competitive landscape, despite some new entrants emerging. For example, PBM contracts provide some switching costs for clients, with each contract typically lasting about three years on average and retention rates typically in the high 90s. This means client relationships can extend well beyond contractual terms probably due to inertia factors related to limited realistic alternatives.

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Also, in recent years, we have seen some network effects, including cumulative market share increases by the top-tier players and UnitedHealth specifically. Overall, we think clients are most attracted to the discounts they can get on drugs due to a PBM's negotiating power with other stakeholders in this market, primarily drug manufacturers and pharmacies. As more users are attracted to a PBM, drug manufacturers and pharmacies have incentive to offer even larger discounts to benefit from those volume-based discounts, which can help scale-advantaged PBMs like UnitedHealth attract even more users and create a virtuous cycle, or a network effect.

The Largest US Caregiver Is Supported Primarily by Intangible Assets

Optum Health's outpatient services segment—consisting primarily of primary care practices, home healthcare service providers, and ambulatory surgical centers—is the largest caregiver in the US, and as at other top-tier caregivers, we think UnitedHealth's caregiving operations benefit from reputational-related intangible assets. Also, this business helps UnitedHealth align incentives between its insurance operations and providers, which can be powerful in the healthcare industry when done correctly. Optum Health service providers allow the company to better manage the care of its members through preventative measures and encourage the use of lower-cost-of-care sites, which can result in significantly lower costs relative to an acute hospital setting, for example.

Healthcare IT Solutions Are Derived From UnitedHealth's Data-Based Solutions

Through its health-related benefits and service businesses, UnitedHealth has amassed a wealth of data that it monetizes through its Optum Insight business. The company's analytical tools and services aim to improve care quality and improve efficiency in the healthcare system through a variety of intangible asset-derived solutions, including population health and risk analytics, consulting services to improve clinical performance and reduce administrative costs, and revenue cycle management tools. The company has previously claimed that its solutions are used by about 4 out of every 5 hospitals and about 3 out of every 4 health insurance plans, highlighting the expansive reach of its influence across the US health system. Switching costs can arise at customers that may be reluctant to switch suppliers in key back-office processes. Also, while it is the smallest business from a revenue perspective, its operating margins are the firm's highest and similar to those of other IT services and solutions companies. We think this highly profitable business adds to UnitedHealth's ability to generate returns on invested capital over capital costs.

Regulatory Concerns Include Future Headwinds in Medicare and PBM Businesses

Our narrow moat rating for UnitedHealth is informed by an analysis of potential changes to the US healthcare system that are possible due to environmental, social, and governance concerns around access to basic healthcare services. Near-term regulatory changes look likely to hit the individual exchanges in 2026 and Medicaid in 2027. Also, related to UnitedHealth's top-tier position in Medicare

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Advantage, questions around aggressive risk assessments look likely to pressure future margins and result in clawbacks of historical overpayments. Beyond that, regulators continue to view the PBM industry as lacking transparency, which could lead to material changes there, too. Regulators may eventually target the vertical integration of this industry, which could result in major restructurings at diverse firms like UnitedHealth, if incentives are viewed as unaligned for the broad US healthcare system.

Fair Value and Profit Drivers Julie Utterback, CFA, Senior Equity Analyst, 11 Mar 2026

We are maintaining our fair value estimate at $427 per share.

After a weak 2025 from a profit perspective, management appears focused on exiting certain geographies and reducing benefits to boost profits. However, those actions may pressure revenue in the near term as members look elsewhere for coverage. As a result, we now expect revenue growth of 4% through 2030 and 5% through 2035 on a compound annual basis. We expect UnitedHealth to boost margins from recent troughs in the long run, although not to historical levels, given expected pressures in key businesses like Medicare Advantage. Compared with its adjusted EBITDA margin of about 11% in 2024, margins fell nearly in half in 2025, and we only assume that margin rebounds to about 9% by the end of our explicit 10-year forecast period. Also, management has endorsed its long-term 13%-16% adjusted earnings per share growth rate after a modest but improving 2026. Our fair value estimate depends on UnitedHealth growing adjusted EPS 16% through 2030 and 14% through 2035 on a compound annual basis, including 200-300 basis points of share repurchase-related expansion. We do not include unannounced acquisitions in those expectations.

Margin expansion will be a multiyear effort, as ongoing and new regulatory concerns could create additional headwinds to UnitedHealth's earnings prospects in the near future. Medical membership may face headwinds from planned federal spending cuts on the individual exchanges (starting in 2026) and Medicaid (2027), which could affect those populations. Those potential cuts are already reflected in our model.

The company's Medicare Advantage and PBM operations may face profit headwinds due to new regulatory scrutiny. While we have already incorporated some Medicare-related headwinds into our model, significant uncertainty surrounds these potential headwinds, including the magnitude of potential margin pressure and clawbacks of past overpayments starting in 2018, the latter of which we currently estimate to be around $20 billion for UnitedHealth. We have not yet incorporated any material PBM-related regulatory headwinds in our model, but regulatory initiatives on that front could eventually affect UnitedHealth's earnings prospects, as well.

Risk and Uncertainty Julie Utterback, CFA, Senior Equity Analyst, 11 Mar 2026

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In May 2025, we raised our Morningstar Uncertainty Rating for UnitedHealth to High from Medium on company-specific challenges that continue to mount at the organization and create a murky profit outlook in addition to broader regulatory concerns.

Overall, potential healthcare policy changes could create ESG-related risks for UnitedHealth, especially during election cycles, as access to universal, affordable coverage remains a key concern of the US public. For example, regulators could continue to put pressure on profit margins in this middleman industry, which could reduce long-term growth prospects. The top-tier PBMs, including UnitedHealth's Optum Rx, are being scrutinized by both Republicans and Democrats for a lack of transparency. Republicans also aim to reduce spending in key end markets, such as Medicaid, which could eat into UnitedHealth's prospects.

Company-specific challenges continue to mount for UnitedHealth, including questions around its coverage decisions, risk assessments in Medicare Advantage, conflicts between its medical insurance and Optum operations, and mismatched rates and utilization. All of these create significant challenges for new CEO Stephen Hemsley and his team in both the near and long term.

Capital Allocation Julie Utterback, CFA, Senior Equity Analyst, 11 Mar 2026

In May 2025, we reduced our Capital Allocation Rating for UnitedHealth to Standard from Exemplary to reflect that management may have been too aggressive with some of its business practices to maximize profits and may have permanently impaired shareholder value in the process. That view cut into our previous assessment that UnitedHealth's investments were exceptional. We still think the firm's balance sheet is sound and its shareholder distributions are appropriate.

UnitedHealth's capital allocation has historically ranked in the top echelon of healthcare services. However, management's attempts to maximize profits may have pushed up risk assessments in Medicare Advantage and may have led to less generous coverage decisions than patients deserved throughout its medical insurance operations. Because of these factors, UnitedHealth may be subject to large cash outflows from government clawbacks or lower margins than we previously anticipated. The company's mishaps with the Change network outage in early 2024 and severe mismatch of rates and medical utilization also contribute to a stain on its record, although the latter is not unique to UnitedHealth in this industry. Those factors have tempered our view of UnitedHealth's investments.

More positively, UnitedHealth's largely organic investment strategy has allowed it to maintain a flexible balance sheet. For example, at the end of 2025, gross leverage stood at a manageable 3 times, despite the severe contraction in profits that year. We do not believe ongoing acquisitions have materially affected the company's financial health. Overall, we think this balance-sheet strength should help UnitedHealth manage potential financial hurdles, including a big clawback of payments in Medicare Advantage.

UnitedHealth distributes cash to shareholders appropriately, in our opinion. It typically pays out around

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30% of its profits in dividends each year, and we expect a healthy payout ratio to continue, although the dividend may not grow in the near future until its earnings power and growth trajectory are assured. The company also repurchases shares regularly, which can add to bottom-line growth on a per-share basis. Given recent share prices below fair value, UnitedHealth may even be able to create a bit of intrinsic value in the short term versus its historic pattern of buying above or near fair value, although that effect may be limited with management backing off its historical share-repurchase levels a bit in 2026 due to regulatory uncertainty.

Analyst Notes Archive

UnitedHealth Earnings: Shares Fall Further, Despite 2026 Profit Guidance in Line With Expectations
Julie Utterback, CFA,Senior Equity Analyst,27 Jan 2026

After a disappointing Medicare Advantage initial rate notice after hours on Jan. 26, UnitedHealth reported its fourth-quarter results and provided EPS guidance for 2026 of greater than $17.75, or roughly in line with initial expectations. Shares fell nearly 20% in early trading on Jan. 27, though. Why it matters: Some of that movement was related to the disappointing initial MA rate announcement (down 9% overnight), but the 2026 guidance pushed shares down further, as revenue looked lighter than expected and investors may have to wait longer than hoped for a big profit turnaround. The flat initial MA rate notice was weaker than the mid-single-digit rate growth we expected for that market. Positively, though, the Centers for Medicare & Medicaid Services has already noted the potential for an upward revision in the final notice expected by early April. Outsize risk adjustments for 2027 may normalize in future years. For 2026, the high-single-digit adjusted EPS growth outlook looks in line with our expectations. Investors may have been disappointed by the expected 2% revenue decline and by profit growth below its typical 13%-16% EPS growth goal, especially off a very weak base in 2025. The bottom line: At first glance, we are keeping our $427 fair value estimate intact on these in line profit expectations for 2026. We continue to view narrow-moat UnitedHealth shares as undervalued, especially after the big decrease in early trading. However, UnitedHealth's turnaround may wind up being a multiyear effort at which regulators continue to throw hurdles, and this is reflected in our High Uncertainty Rating that directly affects the margin of safety we would require to invest in shares. Further risks surround its MA and pharmacy benefit manager businesses. On the MA front, regulators may fine industry players for aggressive past risk assessments, creating the potential for future outflows and headline risk. Additional PBM business model changes are possible, too.

Managed Care Organizations Hit With Weak Medicare Advantage Initial Rate Notice and New Risk Rules Julie Utterback, CFA,Senior Equity Analyst,27 Jan 2026

After hours on Jan. 26, the Centers for Medicare & Medicaid Services released its initial rate notice for the 2027 Medicare Advantage program, which included a flat overall rate increase rather than the 5%

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MORNINGSTAR®

UnitedHealth Group Inc UNH ★★★★ 20 Apr 2026 22:43, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
323.48 USD 20 Apr 2026	427.00 USD 28 Oct 2025 19:59, UTC	0.76	293.61 USD Bil 20 Apr 2026	Narrow	Large Value	High	Standard	21 Apr 2026 05:00, UTC

increase in 2026. Most of that differential is related to new risk assessment-related changes. Why it matters: Reflecting another regulatory crackdown of a key MCO market, big MA insurers—CVS (negative 9%), Humana (negative 13%), and UnitedHealth (negative 9%)—fell the most while less concentrated players—Centene (negative 3%), Elevance (negative 6%), Molina (negative 3%)—fell more moderately and Cigna was flat, due to its lack of MA plans. In May 2025, we incorporated lower MA margins into our models due to potential new MA regulations related to aggressive risk assessments in this population, but we did not anticipate a flat-rate environment as seen in this initial notice. More positively, investors should note this initial notice is typically not finalized until April, meaning the flat 2027 rate may rise. CMS already foreshadowed a potential 2.5% increase from this initial draft, due to expected billing trends not yet included. The bottom line: While we are not changing our fair value estimates on the 4-star MCO insurers because these rates have yet to be finalized for 2027 and may not persist at these low levels in the long run, a low-single-digit run rate on MA rates in the long term would likely pressure our fair values. Specifically, we currently assume that MA rates increase in the midsingle digits over the long run, so a permanent cut in MA rates to about 2.5% and further pressure on MA margins could trim roughly mid-single to low-double-digit percentages off our fair values on the big MA insurers. However, assuming a 2.5% rate increase for just one year before returning to mid-single-digit rate increases for the big MA insurers, and/or considering the lower MA concentrations at the other MCOs, would likely result in immaterial changes to valuations.

UnitedHealth: Senate Committee Finds Aggressive Risk Assessments in Medicare Advantage Julie Utterback, CFA,Senior Equity Analyst,12 Jan 2026

According to the Wall Street Journal, a US Senate committee has reported "aggressive" risk-adjustment tactics in Medicare Advantage at UnitedHealth, although no formal recommendations were made and no wrongdoing was found. UnitedHealth shares were down about 1% in premarket trading on this news. Why it matters: This report comes after media reports and other regulatory inquiries intensified questioning of risk assessments that determine government payments to insurers like UnitedHealth in the important Medicare Advantage market in early 2025. As the largest MA insurer and probably one of the more aggressive risk-assessors in the bunch, UnitedHealth is being called out specifically for recording diagnoses that would boost Medicare Advantage payments from the government on a risk-adjusted basis. Similarly, another government report from the Office of Inspector General in October 2024 found substantial overpayments in Medicare Advantage on diagnoses that were unsupported with further service records, including UnitedHealth as the leading beneficiary of such overpayments. The bottom line: We are keeping our fair value estimates intact for UnitedHealth and the rest of the MCO industry, as we started incorporating negative consequences associated with potential new Medicare Advantage regulation in our base case valuations in May 2025, as increasing scrutiny rose around those practices. Specifically, we suspect further regulation of the Medicare Advantage end market could lead to major fines related to previous overpayments and lower ongoing profit margins for MA insurers than

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they have produced historically. However, we recognize the significant uncertainty surrounding the magnitude and timing of these potential regulations, and our Uncertainty Ratings are inflated by about one notch from norms. For example, we currently have a High Uncertainty Rating on UnitedHealth, versus Medium historically.

Healthcare Services Stocks Fall After Shutdown Solution Excludes Individual Plan Subsidies Julie Utterback, CFA,Senior Equity Analyst,10 Nov 2025

On Nov. 9, the US Senate agreed to terms that would reopen the US federal government after a record shutdown period. However, the solution did not include a plan to extend federal subsidies on the individual exchanges. Why it matters: Medical services stocks fell on Nov. 10. The most affected on our list was leading individual plan provider Centene (shares down about 9%) and hospital operator HCA (shares down about 5%), although most service firms felt pressure on their shares in early trading. Prior to this solution being reached in the Senate, medical services companies' shares had traded higher on hopes that Democrats would hold out for an extension of Joe Biden-era subsidies that make individual plans more affordable and have elevated insured rates in recent years. While this shutdown compromise includes a planned vote on the individual subsidies before they automatically expire at the end of the year, the leverage Democrats held over Republicans on this issue during the shutdown is likely gone, making a subsidy extension even less probable in our view. The bottom line: Prior to this solution, we already assumed that the federal subsidies would expire as scheduled in our models, so the maintenance of that expiration schedule is not a valuation-changing event for any of the firms we cover. However, if Congress comes to a future agreement to extend the subsidies for an extended period, we may boost some of our fair value estimates. At this point, though, the potential for extension remains highly uncertain, and we are keeping our fair value estimates and Morningstar Uncertainty Ratings intact. Currently, we see elevated uncertainty around the medical insurers, especially due to regulatory risks, which are reflected in our higher-than-typical Morningstar Uncertainty Ratings that expand the margin of safety requirements for our stock recommendations.

UnitedHealth Earnings: Despite Ongoing Challenges, 2025 Outlook Raised From a Low Hurdle Julie Utterback, CFA,Senior Equity Analyst,28 Oct 2025

UnitedHealth turned in third-quarter results that were slightly higher than consensus on the bottom line, despite the 59% adjusted EPS decline year over year on 12% revenue growth. Management also increased its adjusted EPS guidance by $0.25 to at least $16.25 in 2025. Why it matters: Shares initially rose about 4% in premarket trading before reversing to flat territory. Overall though, we recognize the stability that this solid report and mildly higher outlook have brought to an organization that has experienced anything but stability over the past year. Initial guidance beyond 2025 looks solid, too. Specifically, management gave its initial outlook for 2026, stating that consensus looks like a good stepping off point for profits next year. Our current 2026 expectation appears slightly higher than

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consensus, representing growth of 9% from the raised 2025 assumptions. After some investments in its OptumHealth (caregiving) and OptumInsight (IT solutions) in 2026, management also highlighted that profit growth may accelerate in 2027, which looks in line with our view, too, despite challenges in Medicaid expected that year. The bottom line: Considering the firm's slightly higher near-term profit growth trajectory and stronger free cash flow trends in 2025 than we previously expected, we are increasing our fair value estimate to $427 per share from $400 previously. Shares still look about fairly valued to us, when considering the high uncertainty surrounding cash flows primarily due to potential regulatory pressures. We remain particularly concerned about potential risk-related adjustments that could reduce the attractiveness of the Medicare Advantage market in the long run. Our narrow moat rating on UnitedHealth has not changed, and UnitedHealth looks likely to remain a top-tier managed care organization on an economic profitability basis, with significant margin for executional error like we are seeing in 2025.

UnitedHealth: Berkshire Hathaway Announces Initial, Large Stake in Beleaguered MCO Julie Utterback, CFA,Senior Equity Analyst,15 Aug 2025

After hours on Aug. 14, Berkshire Hathaway revealed that it had accumulated a 5 million share position in UnitedHealth worth about $1.6 billion. Shares in UnitedHealth soared over 10% in after-hours trading, and the other managed care organizations we cover also rose. Why it matters: Investors appeared to appreciate the vote of confidence from Berkshire Hathaway—Warren Buffett's investment firm with a penchant for owning competitively advantaged, attractively valued firms—at a time of significant uncertainty for both UnitedHealth and the MCO industry. Most MCOs' shares, including UnitedHealth, have floundered in 2025 on deflated profits and weaker market sentiment due to uncertainty surrounding the long-term earnings power of these organizations. This has created an opportunity for long-term investors like Berkshire Hathaway. Although we see elevated uncertainty at UnitedHealth and the other MCOs, right now, due to a combination of mismatched rates and utilization, along with intense regulatory scrutiny, we also still view UnitedHealth as a top-tier MCO with the capacity to handle the problems that it is facing. The bottom line: While Berkshire's vote of confidence does not change our $400 fair value estimate or any of our ratings on narrow-moat UnitedHealth, we appreciate that one of the most admired investment firms also sees value in its shares, despite ongoing challenges. Even after the rise in shares following this disclosure, we still believe UnitedHealth is trading at a roughly 25% discount to fair value. After a decline in profits in 2025 on surging medical utilization in its key at-risk business, we expect UnitedHealth's adjusted earnings per share could surge over 20% compounded annually through 2030, as the firm pulls levers to improve margins in its MA and provider units, particularly.

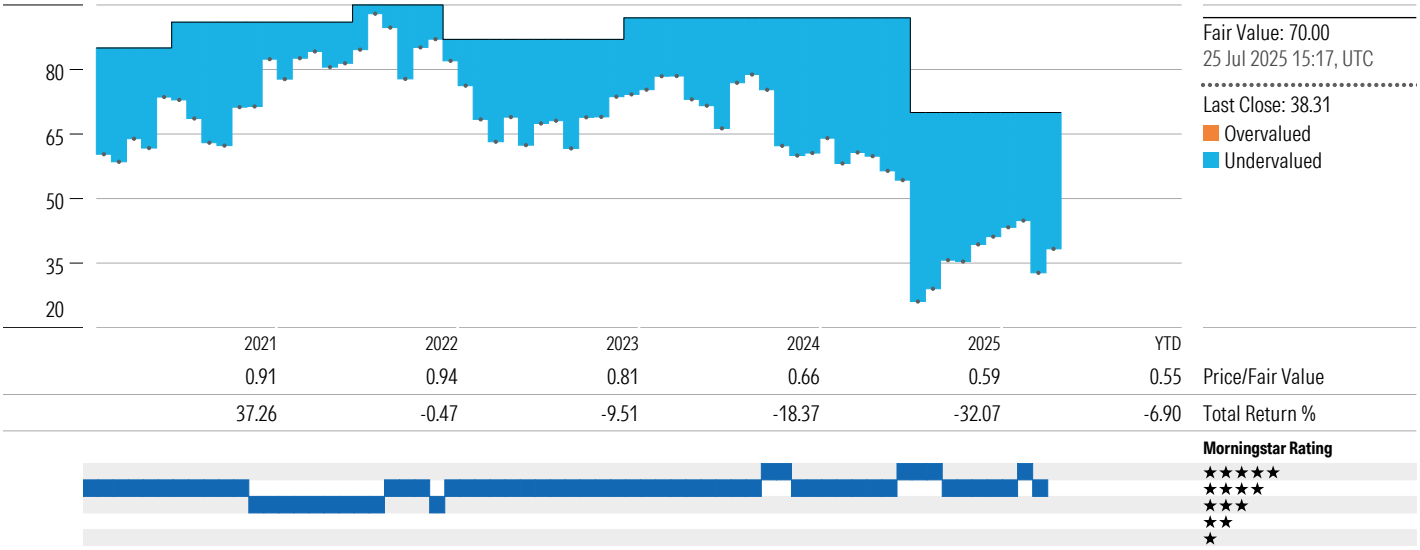
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Competitors Price vs. Fair Value

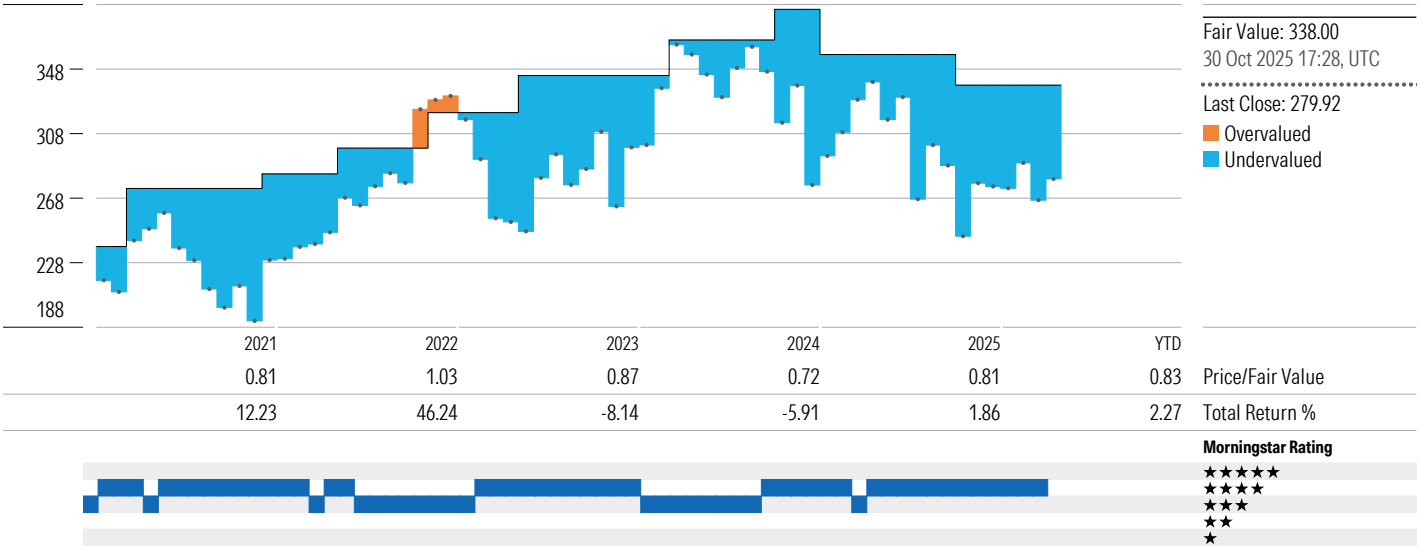
Centene Corp CNC



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	0.91	0.94	0.81	0.66	0.59	0.55
Total Return %	37.26	-0.47	-9.51	-18.37	-32.07	-6.90

Total Return % as of 20 Apr 2026. Last Close as of 20 Apr 2026. Fair Value as of 25 Jul 2025 15:17, UTC.

The Cigna Group CI



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	0.81	1.03	0.87	0.72	0.81	0.83
Total Return %	12.23	46.24	-8.14	-5.91	1.86	2.27

Total Return % as of 20 Apr 2026. Last Close as of 20 Apr 2026. Fair Value as of 30 Oct 2025 17:28, UTC.

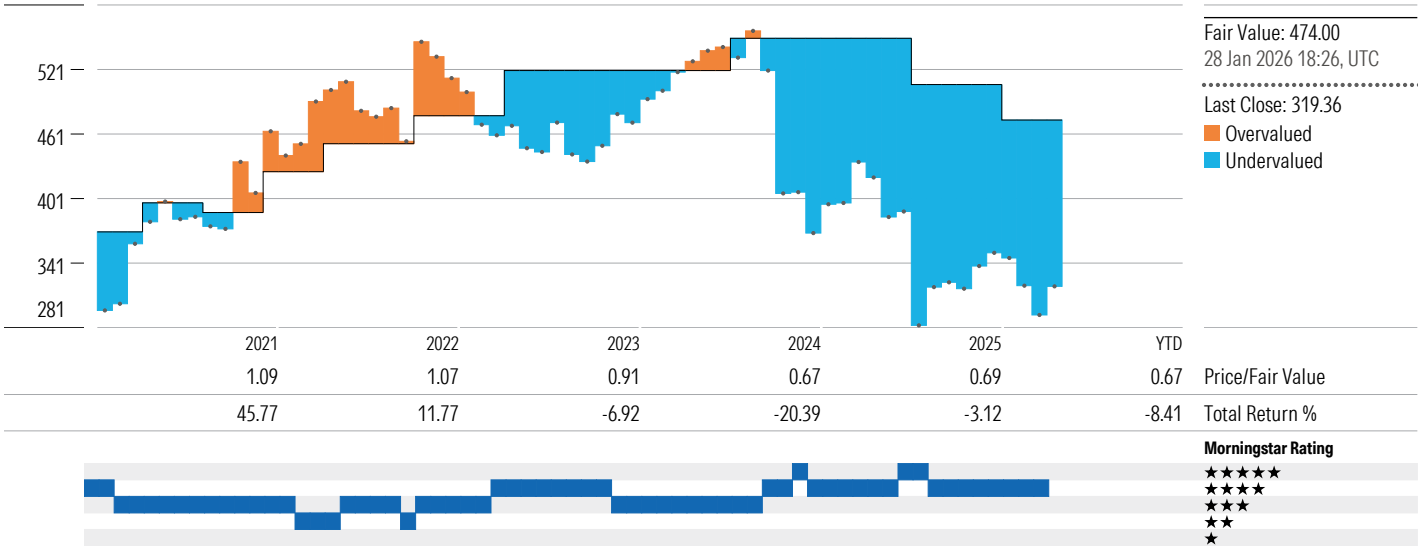
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Competitors Price vs. Fair Value

Elevance Health Inc ELV



	2021	2022	2023	2024	2025	YTD	
	1.09	1.07	0.91	0.67	0.69	0.67	Price/Fair Value
	45.77	11.77	-6.92	-20.39	-3.12	-8.41	Total Return %

Total Return % as of 20 Apr 2026. Last Close as of 20 Apr 2026. Fair Value as of 28 Jan 2026 18:26, UTC.

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Morningstar Valuation Model Summary

Financials as of 11 Mar 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Revenue (USD Mil)	371,622	400,278	447,567	439,221	449,789	481,497	512,252	544,944
Operating Income (USD Mil)	32,358	32,287	18,964	17,017	20,218	24,962	30,456	35,402
EBITDA (USD Mil)	36,330	28,076	23,060	21,410	4,674	29,777	35,578	40,852
Adjusted EBITDA (USD Mil)	37,822	42,948	26,320	24,852	28,376	33,695	39,747	45,286
Net Income (USD Mil)	22,381	14,405	12,056	13,302	-281	18,904	23,164	26,978
Adjusted Net Income (USD Mil)	23,567	25,699	14,897	16,090	18,206	21,960	26,415	30,437
Free Cash Flow To The Firm (USD Mil)	15,546	9,338	12,127	15,397	-1,149	23,006	27,135	31,170
Weighted Average Diluted Shares Outstanding (Mil)	938	929	911	903	903	892	881	870
Earnings Per Share (Diluted) (USD)	23.86	15.51	13.23	14.74	-0.31	21.20	26.29	31.01
Adjusted Earnings Per Share (Diluted) (USD)	25.12	27.66	16.35	17.82	20.17	24.62	29.98	34.99
Dividends Per Share (USD)	7.21	8.11	8.27	8.84	8.84	8.84	9.00	10.50

Margins & Returns as of 11 Mar 2026		Actual			Forecast					
	3 Year Avg	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year Avg**
Operating Margin %	6.3	8.7	8.1	4.2	3.9	4.5	5.2	5.9	6.5	4.3
EBITDA Margin %	—	9.8	7.0	5.1	4.9	1.0	6.2	7.0	7.5	—
Adjusted EBITDA Margin %	—	10.2	10.7	5.9	5.7	6.3	7.0	7.8	8.3	7.0
Net Margin %	4.1	6.0	3.6	2.7	3.0	-0.1	3.9	4.5	5.0	3.3
Adjusted Net Margin %	5.4	6.3	6.4	3.3	3.7	4.1	4.6	5.2	5.6	4.6
Free Cash Flow To The Firm Margin %	3.1	4.2	2.3	2.7	3.5	-0.3	4.8	5.3	5.7	3.8

Growth & Ratios as of 11 Mar 2026		Actual			Forecast					
	3 Year CAGR	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year CAGR**
Revenue Growth %	11.4	14.6	7.7	11.8	-1.9	2.4	7.0	6.4	6.4	4.0
Operating Income Growth %	-12.6	13.8	-0.2	-41.3	-10.3	18.8	23.5	22.0	16.2	13.3
EBITDA Growth %	-8.8	14.1	-22.7	-17.9	-7.2	-78.2	537.0	19.5	14.8	97.2
Adjusted EBITDA Growth %	-7.3	14.4	13.6	-38.7	-5.6	14.2	18.7	18.0	13.9	11.5
Earnings Per Share Growth %	-14.5	12.7	-35.0	-14.6	11.4	-102.1	-6918.8	24.1	18.0	18.6
Adjusted Earnings Per Share Growth %	-14.5	13.2	10.1	-40.9	9.0	13.2	22.1	21.8	16.7	18.6

Valuation as of 11 Mar 2026	Actual			Forecast				
	2023	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Price/Earning	21.0	18.3	20.2	18.2	16.0	13.1	10.8	9.2
Price/Sales	1.3	1.2	0.7	0.7	0.7	0.6	0.6	0.5
Price/Book	5.6	5.1	3.2	3.0	3.3	3.0	2.7	2.4
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	13.4	11.7	13.2	13.8	12.1	10.2	8.7	7.6
EV/EBIT	15.6	15.6	18.4	20.2	17.0	13.8	11.3	9.7
Dividend Yield %	1.4	1.6	2.5	2.7	2.7	2.7	2.8	3.3
Dividend Payout %	28.7	29.3	50.6	49.6	43.8	35.9	30.0	30.0
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 11 Mar 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
ROA %	8.2	4.8	3.9	4.3	-0.1	6.0	7.0	7.7
ROE %	22.6	14.0	11.9	12.6	-0.3	18.1	20.1	21.0
ROIC %	22.4	18.1	11.1	9.3	10.3	12.3	14.8	17.0

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	11.4	14.2	20.8	15.1	13.7	12.4	11.2	10.1
Assets/Equity	2.8	2.9	3.0	2.9	3.1	3.0	2.9	2.7
Net Debt/EBITDA	0.9	1.7	2.2	1.9	10.3	1.4	0.9	0.4
Total Debt/EBITDA	1.7	1.8	3.0	2.9	2.4	1.9	1.5	1.3
EBITDA/ Net Interest Expense	11.7	11.0	6.6	-105.8	-97.3	-101.4	-97.4	-96.0

Forecast Revisions as of 11 Mar 2026	2026		2027		2028	
Prior data as of 28 Oct 2025	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	427.00	427.28	—	—	—	—
Revenue (USD Mil)	439,221	446,849	449,789	467,563	481,497	486,642
Operating Income (USD Mil)	17,017	19,933	20,218	21,664	24,962	25,619
EBITDA (USD Mil)	24,852	25,909	28,376	27,989	33,695	32,202
Net Income (USD Mil)	16,090	14,844	18,206	15,891	21,960	18,866
Earnings Per Share (Diluted) (USD)	14.74	14.95	-0.31	16.33	21.20	2.16
Adjusted Earnings Per Share (Diluted) (USD)	17.82	16.30	20.17	17.77	24.62	21.52
Dividends Per Share (USD)	8.84	8.84	8.84	8.84	8.84	8.84

Key Valuation Drivers as of 11 Mar 2026

Cost of Equity %	9.0
Pre-Tax Cost of Debt %	5.8
Weighted Average Cost of Capital %	8.1
Long-Run Tax Rate %	21.5
Stage II EBI Growth Rate %	5.0
Stage II Investment Rate %	30.0
Perpetuity Year	15

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 11 Mar 2026

	USD Mil
Present Value Stage I	177,697
Present Value Stage II	62,566
Present Value Stage III	218,112
Total Firm Value	**458,375**
Cash and Equivalents	303
Debt	78,389
Other Adjustments	0
Equity Value	**380,289**
Projected Diluted Shares	903
Fair Value per Share (USD)	**427.00**

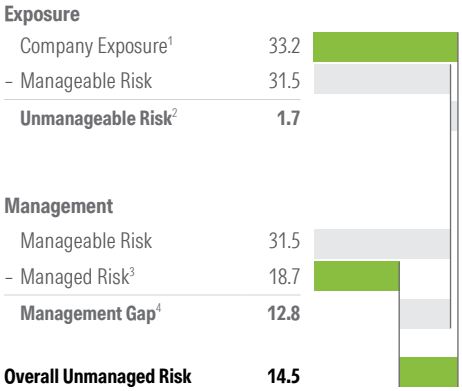
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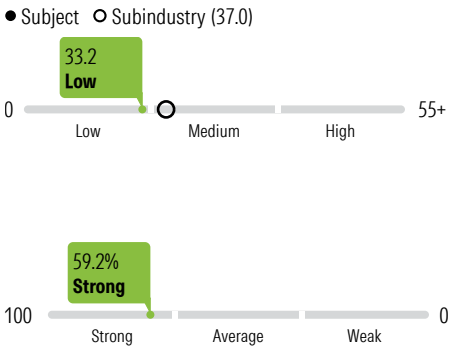
MORNINGSTAR®

UnitedHealth Group Inc UNH ★★★★ 20 Apr 2026 22:43, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
323.48 USD 20 Apr 2026	427.00 USD 28 Oct 2025 19:59, UTC	0.76	293.61 USD Bil 20 Apr 2026	Narrow	Large Value	High	Standard	21 Apr 2026 05:00, UTC

ESG Risk Rating Breakdown





- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 59.2% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of Apr 21, 2026. Highest Controversy Level is as of Apr 08, 2026. Sustainalytics Subindustry: Managed Health Care. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 21 Apr 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
UnitedHealth Group Inc	33.2 | Low	0	55+	59.2 | Strong	100	0	14.5 | Low	0	40+
Centene Corp	36.7 | Medium	0	55+	73.7 | Strong	100	0	11.1 | Low	0	40+
The Cigna Group	34.6 | Low	0	55+	81.6 | Strong	100	0	7.8 | Negligible	0	40+
Elevance Health Inc	36.0 | Medium	0	55+	71.5 | Strong	100	0	11.7 | Low	0	40+
CVS Health Corp	38.1 | Medium	0	55+	63.3 | Strong	100	0	15.3 | Low	0	40+

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Appendix

Historical Morningstar Rating

UnitedHealth Group Inc UNH 20 Apr 2026 22:43, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★★	★★★★	★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★★	★★	★★	★★	★★	★★	★★	★★	★★★	★★★

Centene Corp CNC 20 Apr 2026 22:40, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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The Cigna Group CI 20 Apr 2026 22:40, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★★	★★★★	★★★★	★★★

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Elevance Health Inc ELV 20 Apr 2026 22:41, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★★	★★★★	★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

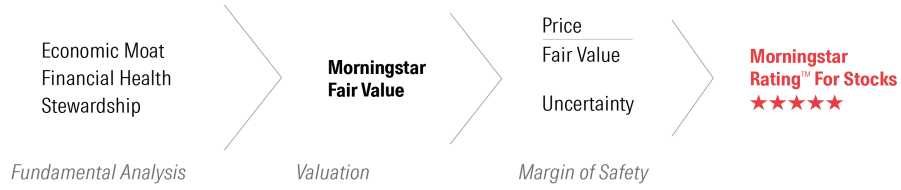
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

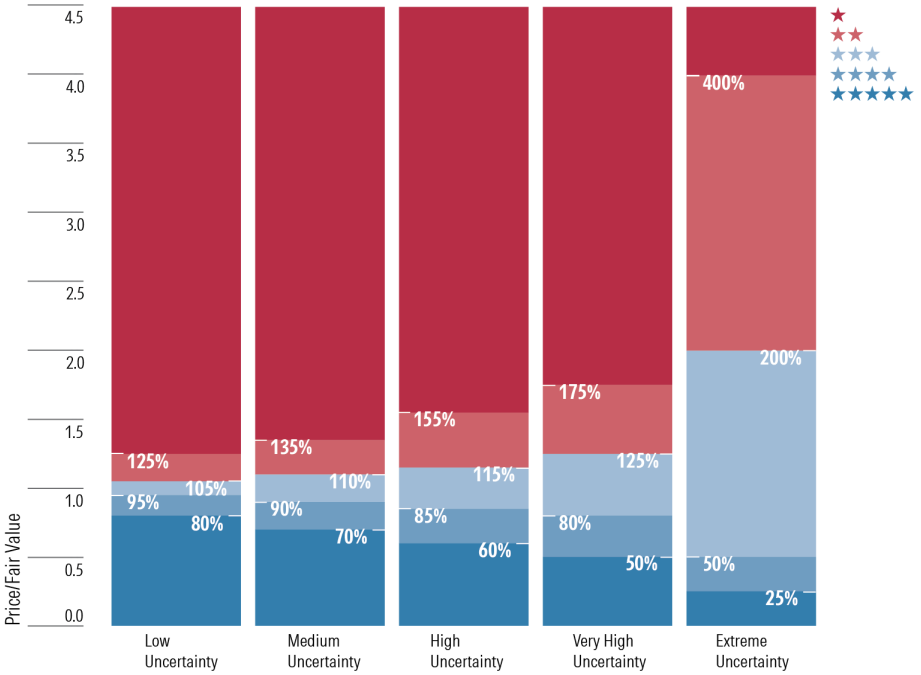
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

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The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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